The British army attacked and defeated Tipu in a brief but fierce war in 1799, before French help could reach him. Tipu still refused to beg for peace on humiliating terms. He proudly declared that it was "better to die like a soldier, than to live a miserable dependent on the infidels, in the list of their pensioned rajas and nabobs". He met a hero's end on 4 May 1799 while defending his capital Seringapatam. His army remained loyal to him to the very end.

Nearly half ofTipu's dominions were divided between the British and their ally, the Nizam. The reduced Kingdom of Mysore was restored to the descendants of the original rajas from whom Haidar Ali had seized power. A special treaty of Subsidiary Alliance was imposed on the new raja by which the Governor-General was authorised to take over the administration of the state in case of necessity. Mysore was, in fact, made a complete dependency of the Company.

In 1801, Lord Wellesley forced a new treaty upon the puppet Nawab of Carnatic compelling him to cede his kingdom to the Company in return for a pension. The Madras Presidency as it existed till 1947 was now created, by attaching the Carnatic to territories seized from Mysore, including the Malabar. Similarly, the territories of the rulers of Tanjore and Surat were taken over and their rulers pensioned off.

The Marathas were the only major Indian power left outside the sphere of British control. Wellesley now turned his attention towards them and began aggressive interference in their internal affairs.

The Maratha empire at this time consisted of a confederacy of five big chiefs, namely, the Peshwa at Poona, the Gaekwad at Baroda, the Sindhia at Gwalior, the Holkar at Indore and the Bhonsle at Nagpur, the Peshwa being the nominal head of the confederacy. But all of them were engaged in bitter fratricidal strife, blind to the real danger from the rapidly advancing foreigner.

Wellesley had repeatedly offered a Subsidiary Alliance to the Peshwa and Sindhia. But the far-sighted Nana Phadnis had refused to fall into the trap. However, when on 25 October 1802, the day of the great festival of Diwali, Holkar defeated the combined armies of the Peshwa